

Understanding Private Limited Companies (Limited by Shares) in Kenya

A Practical Guide to Incorporation, Governance and Compliance

Prepared for the LexReg Portal

In everyday Kenyan business usage, the expression “limited liability company” commonly refers to a private company limited by shares. The Companies Act, 2015 uses the statutory categories “private company” and “company limited by shares”; this guide therefore focuses on the private company limited by shares - the structure most users mean when they refer to an LLC in Kenya.

A company limited by shares is a separate legal person from its shareholders. Shareholders’ liability is limited by the company’s constitution and the Companies Act to any amount unpaid on their shares. The company owns its own assets, enters its own contracts and continues despite changes in shareholders or directors.

For LexReg, this entity should be modelled as a distinct legal workspace connected to its shareholders, directors, beneficial owners, secretary/contact person and operational obligations.

1. What Is a Private Company Limited by Shares?

Promoters / Applicants
↓
Incorporation under Companies Act
↓
Separate Company
↓
Shareholders + Directors
↓
Governance + Compliance

- It is a body corporate with separate legal personality.
- Its members are shareholders.
- Its capital is divided into shares.
- Shareholder liability is limited to any unpaid amount on their shares.
- It is governed by the Companies Act, its articles and valid shareholder/director decisions.
- A private company is subject to restrictions applicable to private companies, including restrictions on offering shares or debentures to the public.

2. The Core Parties

A. Shareholders / Members

Shareholders own shares in the company. They are distinct from directors, although the same person may be both a shareholder and director.

- full legal name / corporate name;
- identity or incorporation details;
- KRA PIN where applicable;
- contact and address details;
- class and number of shares;
- nominal value;
- amount paid/unpaid;
- date of acquisition/allotment;
- voting/dividend/capital rights; and
- date and manner of transfer or cessation.

B. Directors

Directors are responsible for the management and oversight of the company and owe statutory duties to the company. LexReg should not equate share ownership with management authority.

- full legal name;
- ID/passport and nationality;
- KRA PIN where applicable;
- date of birth;
- service and residential addresses;
- email/telephone;
- occupation;
- date of appointment;
- consent to act;
- authority/board role; and
- date/reason for cessation.

C. Company Secretary / Contact Person

A private company is required to have a company secretary where its paid-up capital is KES 5 million or more. A private company below that threshold may appoint one. Where a private company has neither a company secretary nor a resident director, the Companies Act requires a contact person who is a natural person permanently resident in Kenya.

D. Beneficial Owners

Beneficial owners are natural persons who ultimately own or control the company. This register is separate from the shareholder register because a shareholder may itself be a company, trust arrangement or nominee.

3. Share Capital and Initial Shareholding

LexReg should capture the capital structure at incorporation and preserve every later change as a dated event.

- share class;
- nominal value per share;

- number of shares;
- aggregate nominal value;
- amount paid and unpaid;
- rights attached to each class;
- initial allotment to each shareholder; and
- currency where applicable.

The portal should distinguish authorised/nominal concepts used in filing documents from issued, allotted and paid-up capital so that users do not treat them as interchangeable.

4. Articles of Association and Company Constitution

The articles govern the internal administration of the company, subject to the Companies Act. LexReg should store the articles but should also capture operative rules needed for governance workflows.

- director appointment/removal and decision-making;
- shareholder voting thresholds;
- share transfers and pre-emption rules;
- share classes and rights;
- dividends/distributions;
- conflicts of interest;
- meeting and written-resolution procedures;
- execution/authority rules; and
- special provisions adopted by the company.

Where model articles apply, LexReg should identify that fact. Bespoke articles should be reviewed for rules that alter the default workflow.

5. Registration Documents

Current BRS fee guidance lists the core documents lodged for a private limited company as CR1, CR2, CR8 and the Statement of Nominal Capital. BRS issues the Certificate of Incorporation after successful registration.

- CR1 - Application to Register a Company;
- CR2 - Model Memorandum for a Company with Share Capital;
- CR8 - Notice of Residential Address of Director;
- Statement of Nominal Capital / capital and initial shareholding information; and
- supporting identity, PIN, photograph and other information generated or requested through the online process.

For LexReg, these forms should be outputs of structured data capture wherever possible, rather than asking the user to understand and manually populate each form independently.

6. Suggested LexReg Incorporation Workflow

Create / Identify Applicant
↓

Create / Identify Applicant
Proposed Company Name
↓
Registered Office
↓
Business Activity
↓
Share Capital + Classes
↓
Shareholders
↓
Directors
↓
Secretary / Contact Person Logic
↓
Beneficial Ownership
↓
OCR + Validation
↓
Review & Consent
↓
Generate / Prepare BRS Data & Forms
↓
Submit / Pay
↓
Certificate of Incorporation
↓
Post-Incorporation Compliance Setup

The exact BRS screen sequence can change. LexReg should therefore keep the legal/data model separate from the eCitizen/BRS user-interface sequence so that portal changes can be updated without rebuilding the entity logic.

7. Individual Shareholder / Director Onboarding

For an individual, LexReg should minimise typing by extracting stable identity data from the user's ID/passport and KRA PIN and reusing an existing verified Person Profile.

- legal names;
- identification number;
- nationality;
- date of birth;

- KRA PIN;
- residential/service address;
- email/telephone;
- occupation;
- shareholding, if any; and
- director role, if any.

8. Corporate Shareholder / Corporate Director

Where the participant is a Kenyan company, LexReg should link or create a Corporate Entity Profile rather than treating the company as a natural person.

A streamlined verification package can begin with:

- Certificate of Incorporation;
- KRA PIN Certificate; and
- current official search / CR12 or equivalent current registry output.

Additional constitutional, ownership, board-authority or beneficial-ownership documents should be requested only where required by the role, transaction or verification risk. LexReg should also identify the natural person authorised to act for the corporate participant.

9. OCR and Reuse of Existing Data

Upload ID / PIN / Corporate Records
↓
OCR + Structured Extraction
↓
Cross-check Existing LexReg Profile
↓
User Reviews & Confirms
↓
Populate Company Application
↓
Generate Registers after Incorporation

OCR should reduce repetitive data entry but should not silently determine legal status. Extracted fields should be shown to the user for confirmation, with confidence/error handling for unclear documents.

10. Registered Office

Every company must maintain a registered office. LexReg should record the physical/postal/electronic contact particulars required for the company and preserve the effective date of any change.

A change of registered office should trigger the appropriate BRS filing workflow rather than simply overwriting the address in the profile.

11. Directors and Director Changes

The company should maintain an accurate Director Register and history. BRS forms include CR6 for appointment, CR7 for changes in directors' particulars, CR8 for residential address changes and CR9 for cessation.

Director Proposed
↓
Consent + Due Diligence
↓
Corporate Approval
↓
BRS Filing
↓
Activate Director
↓
Later Change / Cessation
↓
Preserve History

LexReg should generate the correct workflow from the event rather than asking the user to select a form number unaided.

12. Shareholders and the Register of Members

The shareholder/member register should be a core LexReg register, not simply a snapshot from CR12.

- shareholder identity;
- share class;
- number of shares;
- certificate/reference;
- date entered as member;
- allotment or transfer basis;
- amount paid/unpaid;
- date ceased; and
- supporting allotment/transfer records.

The system should be capable of reconstructing the cap table as at any historical date.

13. Allotments and Share Transfers

New share allotments and transfers are legally distinct events. LexReg should not merely edit the current number of shares.

Proposed Transaction
↓

Proposed Transaction
Check Articles / Pre-emption / Approvals
↓
Board / Shareholder Action as Required
↓
Execute Supporting Documents
↓
BRS / Tax / Stamp Duty Steps as Applicable
↓
Update Register of Members
↓
Review Beneficial Ownership

BRS identifies CR20 as the return of allotment. Transfer requirements may also engage stamp-duty and tax processes depending on the transaction.

14. Beneficial Ownership

Under the Companies (Beneficial Ownership Information) Regulations, every company must identify and maintain information on its beneficial owners. For a company limited by shares, the current criteria include a natural person who, individually or jointly, directly or indirectly holds at least 10% of issued shares, exercises at least 10% of voting rights, has the right to appoint or remove a majority of the board, or exercises significant influence or control.

LexReg should maintain a Beneficial Ownership Register separate from the shareholder register and support look-through analysis where a shareholder is a company or other arrangement.

- full name;
- ID/passport/birth certificate number;
- PIN;
- nationality and date of birth;
- postal, business and residential addresses;
- telephone/email;
- occupation/profession;
- nature of ownership/control;
- date became beneficial owner; and
- date ceased.

The current Regulations use BOF1 for the register and prescribe filings for changes, new beneficial owners, cessation and unidentified/unknown beneficial owners. LexReg should map the current BRS form/service at implementation rather than relying only on legacy form numbering.

15. Corporate Shareholding and Look-Through Logic

A corporate shareholder can create multiple layers between the registered shareholder and the natural person who ultimately owns or controls the company.

Company Being Onboarded
↓
Corporate Shareholder
↓
Its Shareholders / Controllers
↓
Further Corporate Layers if Any
↓
Natural Person(s) Meeting BO Test

This should become reusable LexReg infrastructure because the same corporate participant may appear across many entities.

16. Board Governance

LexReg should provide a Board/Director Governance module for significant company decisions.

- director appointments and cessations;
- bank mandates;
- contracts and delegated authority;
- borrowing and security;
- share allotments/transfers;
- conflicts of interest;
- financial statements;
- dividends;
- major asset transactions;
- employment of senior personnel; and
- regulatory filings.

The system should record whether the decision was made at a meeting or by written resolution and preserve the supporting minutes/resolution.

17. Shareholder Governance

Matters reserved to members should be routed to the appropriate shareholder approval process, including ordinary or special resolutions where required by law or the articles.

BRS form CR19 is used for notices of special/ordinary resolutions required by the Companies Act to be lodged with the Registrar.

18. Company Secretary Logic

LexReg should make secretary requirements conditional rather than displaying the same field to every private company.

Paid-up Capital < KES 5m
↓
Secretary Optional (subject to other requirements)
↓
Paid-up Capital ≥ KES 5m
↓
Secretary Required

The workflow should also test whether there is a resident director. If there is neither a secretary nor a resident director, the contact-person requirement should be activated.

19. Statutory Registers

The company workspace should maintain or support the principal statutory records applicable to the company, including:

- Register of Members;
- Register of Directors;
- Register of Secretaries where applicable;
- Beneficial Ownership Register;
- register/records of charges where applicable;
- share allotment and transfer history;
- resolutions and minutes; and
- other records required by the Companies Act or the company's circumstances.

20. Annual Returns

A private company has a recurring obligation to lodge an annual return with the Registrar. BRS identifies CR29 as the annual-return form, and the Companies (General) Regulations prescribe information concerning the company, members/share capital, directors and secretary, among other particulars.

LexReg should pre-populate the annual return from current verified registers, ask the user to confirm changes and create an audit trail of the filed return.

Annual Return Due
↓
Compare Current Registers
↓
Resolve Missing Changes
↓
User Confirms
↓
File Annual Return
↓
Store Receipt / Output

Annual Return Due
↓
Set Next Due Event

21. Financial Statements and Audit

Companies have accounting and financial-reporting obligations under the Companies Act. Whether an audit exemption or other simplified treatment is available depends on the statutory criteria and the company's circumstances.

LexReg should therefore avoid a blanket “audit required / not required” assumption. Instead it should collect the financial and status information needed to determine the applicable pathway for the relevant financial year.

22. Tax Compliance

After incorporation, the company has its own tax identity and tax obligations separate from those of its shareholders and directors. The applicable taxes depend on its activities, turnover, employees, transactions and sector.

- corporation/income tax compliance;
- VAT where applicable;
- PAYE and payroll obligations where applicable;
- withholding obligations where applicable;
- tax invoices/eTIMS requirements where applicable;
- capital gains/stamp-duty events where relevant; and
- sector-specific tax obligations.

Thresholds and tax rules should be maintained in an updateable compliance rules layer rather than hard-coded permanently into the company entity template.

23. Employees and Operational Compliance

A company may be perfectly incorporated but operationally non-compliant. LexReg should therefore ask trigger questions immediately after incorporation.

- Does the company employ staff?
- Does it operate from physical premises?
- Does it process personal data?
- Does it carry on a regulated activity?
- Does it import/export?
- Does it own or operate vehicles?
- Does it hold licences or permits?
- Does it own/lease material assets?
- Does it process customer payments or consumer transactions?

Answers should activate employment, data-protection, county licensing, health and safety, sector-regulatory, insurance and other relevant modules.

24. Assets, Contracts and Intellectual Property

Because the company is a separate legal person, LexReg should distinguish assets and contracts owned by the company from those belonging personally to shareholders or directors.

- Asset Register;
- Contract Register;
- Lease/Premises Register;
- Insurance Register;
- Intellectual Property Register; and
- Litigation/Dispute Register where applicable.

25. Charges and Security

Where the company creates registrable security over its assets, the Companies Act and BRS processes for registration and discharge of charges become relevant. BRS identifies CR25-CR27 for specified charge registrations and CR28 for satisfaction/discharge.

LexReg should trigger a Charges/Security workflow when borrowing or secured-finance information is entered.

26. Changes to Company Particulars

Changes should be treated as events with approvals, effective dates, filings and historical records.

- company name;
- registered office;
- director particulars/appointments/cessations;
- secretary particulars/appointments/cessations;
- share capital and share rights;
- allotments;
- shareholders;
- beneficial owners; and
- accounting reference date where applicable.

The system should never erase the prior legal state simply because a current field has changed.

27. Company Document Vault

- Certificate of Incorporation;
- CR1, CR2, CR8 and incorporation outputs;
- Statement of Nominal Capital;
- Articles of Association;
- CR12/official searches;
- KRA PIN and tax records;
- BO filings;
- annual returns;

- director/shareholder resolutions and minutes;
- share certificates and transfer/allotment documents;
- licences/permits;
- contracts;
- financial statements/audit records; and
- charges/security documents.

28. Legal and Compliance Audit

LexReg should periodically compare the company’s legal records, registry data and operational facts.

- BRS particulars inconsistent with internal registers;
- late/missing annual returns;
- missing beneficial ownership information;
- director/shareholder changes not filed;
- secretary/contact-person requirement not satisfied;
- cap table inconsistencies;
- missing resolutions or share documentation;
- tax compliance gaps;
- employment/data-protection/licensing gaps;
- unregistered charges; and
- assets/contracts held in the wrong legal name.

29. Dissolution, Insolvency and Cessation

A company should not simply be marked “inactive”. Closure can involve strike-off, liquidation, insolvency procedures, tax closure, employee matters, creditor settlement, contracts, assets and final filings.

BRS identifies CR18 and CR19 among the documents used in company dissolution/strike-off processes.

LexReg should route users according to the actual closure circumstances and should preserve the company’s historical records after cessation.

30. Suggested LexReg Data Architecture

User Account
↓
Company Entity Profile
↓
Shareholder Register + Cap Table
↓
Director / Secretary / Contact Person Registers
↓
Beneficial Ownership Register
↓

User Account
Governance Rules + Resolutions
↓
Assets + Contracts + Employees
↓
Compliance Calendar
↓
Legal / Compliance Audit

This architecture allows one user to manage several companies and other interests under a single account while preserving each company as a separate legal and compliance workspace.

31. The Key Principle

A private company limited by shares is not merely a registration certificate. It is a separate legal person with an ongoing governance and compliance lifecycle.

Incorporate the Company
↓
Establish Ownership + Management
↓
Identify Beneficial Owners
↓
Maintain Statutory Registers
↓
Record Governance Events
↓
Meet Annual + Operational Compliance
↓
Audit and Update Continuously

For LexReg, the incorporation questionnaire should therefore create the first version of the company's permanent legal record. The same structured data should then drive governance, filings, compliance reminders and legal audits throughout the company's life.

Important Note

This guide provides general information about Kenyan private companies limited by shares. It does not constitute legal, tax, accounting or financial advice for a particular company or transaction. BRS/eCitizen screens, fees, forms, tax rules and regulatory requirements can change and should be verified when action is taken.

Key Legal and Regulatory References

- Companies Act (Cap. 486) - Kenya Law: <https://new.kenyalaw.org/akn/ke/act/2015/17/>
- Companies (General) Regulations, 2015 - Kenya Law: <https://new.kenyalaw.org/akn/ke/act/lr/2015/239/>

- Companies (Beneficial Ownership Information) Regulations - Kenya Law:
<https://new.kenyalaw.org/akn/ke/act/ln/2020/12/>
- Business Registration Service - Companies Registry: <https://brs.go.ke/companies-registry/>
- Business Registration Service - Forms: <https://brs.go.ke/forms/>
- Business Registration Service - Fee Schedule: <https://brs.go.ke/fee-schedule-companies-registry/>
- Business Registration Service - Guides and Handbooks: <https://brs.go.ke/guides-and-handbooks/>